ECONOMIC BRIEF: THE EFFECTS OF SUSTAINED BUDGET DEFICITS

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The budget is an annual estimate of what the Australian government plans to collect in terms of revenue mainly from taxes, and what it plans to spend in providing community goods and services including social security and welfare, assistance to the states, health, education and defence. The budget outcome is measured by subtracting government expenditure (G) from taxation revenue (T). A budget deficit is where planned government expenditure exceeds planned government revenue i.e. G > T.

The Current Stance of Fiscal Policy

In response to the shocks to aggregate supply and demand of the Covid-19 pandemic the Australian government has adopted a very expansionary or stimulatory stance of fiscal policy by increasing discretionary spending to support households and businesses. This is shown in **Figure 1** where the 2019-20 budget outcome was a forecast surplus of $7.1b when the economy's income was Y. Due to the Covid-19 pandemic the economy's income will fall to Y_2 and result in falling taxation revenue and increased government spending on unemployment benefits as more people become unemployed.

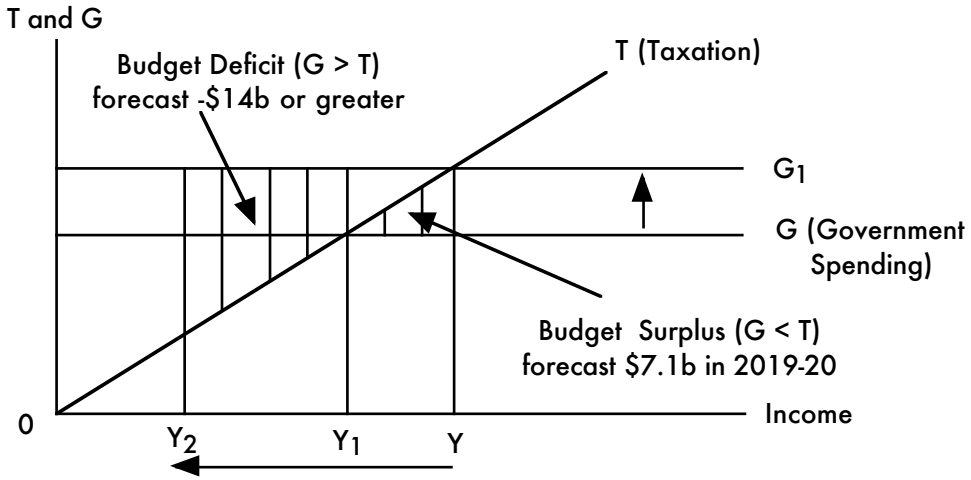
At the same time the Australian government has increased its spending from G to G_1 leading to a large projected budget deficit of -$14b or more. There are a number of effects of sustained budget deficits on the Australian economy:

1. Expansionary fiscal policy through the use of budget deficits will help to support aggregate demand, economic growth and employment during the Covid-19 pandemic.

2. The Australian government will experience an increase in the net debt forecast at $361b (18% of GDP) in 2019-20 with net interest payments of $10.9b or 0.5% of GDP. The net debt could increase to over $500b because of the borrowing requirement to finance large budget deficits now and in the future.

3. The Australian Office of Financial Management had sold around $50b of Australian Government Securities in April 2020 and had $579.2b of bonds on issue to investors. This financing requirement is likely to rise if the budget deficit increases in the future.

Figure 1: Possible Budget Outcomes



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